LAZARIDIS
School of Business & Economics

BU433 - Management of Financial Institutions - Assignment

Due Date: July 28, 11:59pm EST

Group assignment (two to five students). Submit your PDF file and supporting Excel files in the identified Dropbox folder.
Please ensure all group members' names and student IDs are noted on the cover page.

Guidelines:

The assignment warrants an in-depth performance and risk analysis of an actual financial institution. The selected financial institution can be an U.S. or Canadian firm, or a global entity with substantial presence in North American financial markets. The chosen financial institution can belong to any one of the five categories discussed in class: depository institutions (chartered banks and credit unions), non-bank finance companies (loan agencies), securities and brokerage firms and investment banks, investment funds (mutual funds, hedge funds, pension funds, and other funds) and insurance companies (life insurance and property and casualty insurance). The financial institution needs to be currently existing and have at least twenty years of history.

Emphasis lies on creative and original thinking, skillful analysis, and professional execution. A regurgitation or compilation of published materials or online articles is not permitted; lack of originality will be penalized. In preparing your report, take the viewpoint of: (1) as a financial manager or a risk analyst in the financial institution, or (2) as a consultant to the financial institution.

The final report should include:

- (2.5 marks) **Motivation** for choice of the financial institution; brief history; types of products and services offered; organizational structure; where it operates
- (2.5 marks) **Competition** (who are the main competitors); market presence (relative market size, market share, etc); SWOT analysis
- (2.5 marks) **Detailed financial (stock price) analysis** including breakdown of performance compared to competitors named in the report
- (5 marks) **Detailed financial performance** analysis (NOT a DCF or valuation, use the capital and other financial/leverage/solvency ratios unique to FI's)
- (5 marks) **Risk identification, assessment and evaluation** of risk management;

- (2.5 marks) **Forecast for near-term future performance** (qualitative and quantitative – you are NOT required to do a DCF to arrive at stock price).

The assignment will be evaluated based on three criteria: (i) the quality and contents of descriptive coverage of corporate background, structure and history of the chosen institution; (ii) the execution, and breadth and depth of financial performance and risk analysis; and (iii) creativity, and the quality of writing, elucidation and overall presentation

20% Final Course Weight